Independent Auditor’s Report

Opinion

We have audited the financial statements of Sample PLC.

In our opinion the financial statements give a true and fair view.

Key Audit Matters

Statement of Profit or Loss

Group		
Rs. ’000		
Revenue	10,000,000	9,000,000
Cost of sales	(6,000,000)	(5,500,000)
Gross profit	4,000,000	3,500,000
Other income	100,000	80,000
Distribution expenses	(500,000)	(450,000)
Administrative expenses	(800,000)	(700,000)
Results from operating activities	2,800,000	2,430,000
Finance costs	(300,000)	(250,000)
Profit before tax	2,500,000	2,180,000
Income tax expense	(750,000)	(654,000)
Profit for the year	1,750,000	1,526,000
Basic earnings per share	3.50	3.05

Statement of Financial Position

Group		
Rs. ’000		
Property, plant and equipment	5,000,000	4,800,000
Right-of-use assets	400,000	420,000
Intangible assets	100,000	90,000
Inventories	2,000,000	1,800,000
Trade and other receivables	2,500,000	2,200,000
Cash and cash equivalents	500,000	610,000
Total current assets	5,000,000	4,610,000
Total assets	10,500,000	9,920,000

Statement of Financial Position (Contd.)

Group		
Rs. ’000		
Stated capital	2,000,000	2,000,000
Retained earnings	3,500,000	3,100,000
Total equity	5,500,000	5,100,000
Interest bearing borrowings	1,200,000	1,300,000
Lease liabilities	350,000	380,000
Interest bearing borrowings	800,000	700,000
Lease liabilities	60,000	55,000
Bank overdraft	100,000	90,000
Trade and other payables	1,500,000	1,400,000
Total current liabilities	2,460,000	2,245,000
Total liabilities	5,000,000	4,820,000
Total equity and liabilities	10,500,000	9,920,000

Statement of Cash Flows

Group		
Rs. ’000		
Cash flows from operating activities		
Profit before tax	2,500,000	2,180,000
Depreciation of property, plant and equipment	400,000	380,000
Amortisation of intangible assets	20,000	18,000
Increase in inventories	(200,000)	(100,000)
Increase in receivables	(300,000)	(150,000)
Net cash generated from operating activities	2,000,000	1,900,000
Purchase of property, plant and equipment	(600,000)	(550,000)
Dividends paid	(500,000)	(400,000)
Repayment of borrowings	(100,000)	(90,000)

Notes to the Financial Statements

1. Corporate information

Related party transactions

Contingent liabilities